

Kweichow Moutai Co. Ltd. (A)

4Q25 miss as a clearing event; expecting a healthy start to 2026

Reiterate Rating: BUY | PO: 1,630 CNY | Price: 1,463 CNY

4Q25 miss as a clearing event

We trim 2026/27E EPS by -2%/-4% due to Moutai's 4Q miss, while maintaining PO of RMB1630 as we factor in its recent price hike (see our prior [note](#)). We highlight 4 result takeaways. 1) Revenue/NPAT was -1%/-4.5% in 2025 (or -19%/-30% in 4Q25), 2%/5% below BofA estimates and VA consensus. 4Q miss was due to destocking before the end-2025 channel reform (which has since proven successful), soft demand and CNY shipment phasing. 2) We regard 4Q (the first quarterly EPS decline since 2015) as a clearing event, which should pave the way for a likely 2026 recovery, evidenced by sell-out growth in 1Q26, per our channel checks. Moutai's 4Q should also set the tone for the baijiu sector with broad-based declines in 4Q25/1Q26. 3) Moutai has not offered 2026 guide in the filing (an unusual move). However, we expect mid-single digit growth given a lower base from its 4Q miss, a solid start to 2026 and c.5% GDP growth target of Guizhou (its home province). 4) Dividend payout was 79% in 2025 (vs.75% in 2024), and dividend dollars were +0.6% YoY despite EPS declines, offering downside protection.

1Q result is key in the near term; maintain Buy

1Q will be key in the near term, and we remain constructive. 1) We expect the industry to see easier comps ahead given the lap of anti-graft campaigns from May, and P&L cleanup from 2H. 2) Moutai enjoys better visibility, while other large-cap peers all face their own issues. 3) Moutai offers a 3.6% dividend yield, or c.4% total shareholder yield, including share buyback, which appears attractive in a low-interest-rate environment.

Results highlight

1) 2025. Moutai liquor's sales were +0.4%, with volume +0.7% to 46.8k tons. Series liquor sales were -9.8%. DTC was +13% (or 50% of sales). 2) 4Q25. Revenue/NPAT was -19.3%/-30.3%. Advance payment was +3% QoQ, or -17% YoY. DTC was +27% YoY, and traditional channel were -58% YoY. GPM was -459bp to 74.7%. S&D/sales was +399bp to 6.7%, and G&A/sales was +392bp to 13.8%. Hence, OPM was -843bp to 61.5%.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	86,228	82,320	86,660	90,982	95,845
EPS	68.64	65.74	68.99	72.43	76.30
EPS Change (YoY)	15.4%	-4.2%	4.9%	5.0%	5.3%
Consensus EPS (Visible Alpha)			75.48	81.42	85.55
Dividend / Share	51.48	51.93	53.98	56.67	59.70
Free Cash Flow / Share	69.88	46.63	68.16	75.75	78.09
Valuation (Dec)					
P/E	21.31x	22.25x	21.21x	20.20x	19.17x
Dividend Yield	3.52%	3.55%	3.69%	3.87%	4.08%
EV / EBITDA*	13.95x	14.42x	13.70x	13.02x	12.37x
Free Cash Flow Yield*	4.79%	3.19%	4.66%	5.18%	5.34%

* For full definitions of *IQmethod*SM measures, see page 9.

17 April 2026

Equity

Key Changes

(CNY)	Previous	Current
2026E EPS	70.11	68.99
2027E EPS	75.36	72.43
2028E EPS	NA	76.30
2026E EBITDA (m)	123,899.2	122,170.7
2027E EBITDA (m)	133,192.5	128,546.6
2028E EBITDA (m)	NA	135,333.5

Chen Luo, CFA >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 2009
chen.luo@bofa.com

Lucy Yu >>
Research Analyst
Merrill Lynch (Singapore)
+65 6678 0417
lucy.yu@bofa.com

Jonas Yang >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 5834
jonas.yang@bofa.com

Alice Ma >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 8752
alice.ma@bofa.com

Stock Data

Price	1,463 CNY
Price Objective	1,630 CNY
Date Established	30-Oct-2025
Investment Opinion	B-1-7
52-Week Range	1,322 CNY-1,645 CNY
Mkt Val / Shares Out (mn)	268,676 USD / 1,252.3
Market Value (mn)	1,831,871 CNY
Average Daily Value (mn)	689.67 USD
Free Float	30.0%
BofA Ticker / Exchange	XHJBF / SHH
Bloomberg / Reuters	600519 CH / 600519.SS
ROE (2026E)	34.1%
Net Dbt to Eqty (Dec-2025A)	-52.3%

Acronyms

DTC: direct to consumer; GPM: gross profit margin; S&D: selling & distribution expenses; G&A: general & admin expenses

>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.

Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.

BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Refer to important disclosures on page 10 to 12. Analyst Certification on page 6. Price Objective Basis/Risk on page 6.

12959908

Timestamp: 16 April 2026 04:30PM EDT

CR

iQprofileSM Kweichow Moutai Co. Ltd. (A)

Key Income Statement Data (Dec)

(CNY Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	174,144	172,054	180,610	189,588	199,150
Gross Profit	133,428	129,808	135,102	142,634	150,757
Sell General & Admin Expense	(15,173)	(15,764)	(14,991)	(16,494)	(17,936)
Operating Profit	118,323	114,169	120,237	126,265	132,947
Net Interest & Other Income	1,315	586	568	565	662
Associates	NA	NA	NA	NA	NA
Pretax Income	119,639	114,755	120,805	126,830	133,610
Tax (expense) / Benefit	(30,304)	(29,445)	(30,997)	(32,543)	(34,283)
Net Income (Adjusted)	86,228	82,320	86,660	90,982	95,845
Average Fully Diluted Shares Outstanding	1,256	1,252	1,256	1,256	1,256

Key Cash Flow Statement Data

Net Income	86,228	82,320	86,660	90,982	95,845
Depreciation & Amortization	1,721	1,893	1,934	2,281	2,386
Change in Working Capital	8,549	9,782	6,988	(2,168)	1,562
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(4,034)	(32,473)	(6,724)	7,265	1,496
Cash Flow from Operations	92,464	61,522	88,858	98,360	101,289
Capital Expenditure	(4,679)	(3,128)	(3,500)	(3,500)	(3,500)
(Acquisition) / Disposal of Investments	(5,745)	(62,097)	0	0	0
Other Cash Inflow / (Outflow)	8,639	33,583	0	0	0
Cash Flow from Investing	(1,785)	(31,642)	(3,500)	(3,500)	(3,500)
Shares Issue / (Repurchase)	NA	NA	NA	NA	NA
Cost of Dividends Paid	(70,951)	(67,242)	(67,594)	(70,966)	(74,759)
Cash Flow from Financing	(71,068)	(73,427)	(67,594)	(70,966)	(74,759)
Free Cash Flow	87,785	58,395	85,358	94,860	97,789
Net Debt	(163,380)	(132,748)	(150,512)	(174,406)	(197,436)
Change in Net Debt	NA	NA	NA	NA	NA

Key Balance Sheet Data

Property, Plant & Equipment	21,871	22,488	26,526	27,745	28,859
Other Non-Current Assets	25,346	28,828	26,031	25,690	25,331
Trade Receivables	2,003	4,460	2,598	2,596	2,860
Cash & Equivalents	186,483	150,787	168,550	192,444	215,474
Other Current Assets	63,240	97,272	106,774	104,314	106,869
Total Assets	298,945	303,835	330,480	352,789	379,393
Long-Term Debt	NA	NA	NA	NA	NA
Other Non-Current Liabilities	417	265	265	265	265
Short-Term Debt	23,103	18,038	18,038	18,038	18,038
Other Current Liabilities	33,413	31,572	36,004	34,992	37,028
Total Liabilities	56,933	49,876	54,307	53,296	55,332
Total Equity	242,011	253,959	276,172	299,493	324,061
Total Equity & Liabilities	298,945	303,835	330,480	352,789	379,393

iQmethodSM - Bus Performance*

Return On Capital Employed	35.7%	31.8%	31.8%	30.9%	30.2%
Return On Equity	38.4%	34.5%	34.1%	33.2%	32.6%
Operating Margin	67.9%	66.4%	66.6%	66.6%	66.8%
EBITDA Margin	68.9%	67.5%	67.6%	67.8%	68.0%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.1x	0.7x	1.0x	1.1x	1.1x
Asset Replacement Ratio	2.7x	1.7x	1.8x	1.5x	1.5x
Tax Rate (Reported)	25.3%	25.7%	25.7%	25.7%	25.7%
Net Debt-to-Equity Ratio	-67.5%	-52.3%	-54.5%	-58.2%	-60.9%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 9.

Company Sector

Distillers

Company Description

With over 800 years of history, Moutai is the largest baijiu company in China, with over 50% volume share in premium-end baijiu. Its core brand, Moutai (including 53-, 43- and 38-proof), contributes 91% of revenue. The remaining sales come from other series, represented by Moutai Prince, Ying Bin and Lai Mou. It is the most well-known baijiu brand globally and is positioned at the premium end of the market with the highest ASP and gross margin. The firm was listed in SHEx in August 27, 2001.

Investment Rationale

We rate Moutai Buy. The company enjoys indisputable industry leadership, brand strength and scarcity value, which have led to much more EPS buffers, a smoother performance cycle amid the downturn and healthier channel dynamics.

Stock Data

Price to Book Value

6.9x

Earnings revision

Exhibit 1: Moutai: Earnings revision

We trim 26E/27E EPS by -1.6%/-3.9%

	2026E			2027E		
	Old	New	YoY +/-	Old	New	YoY +/-
RMB mn						
Sales	177,872	180,610	1.5%	190,573	189,588	-0.5%
Cost of sales	(15,674)	(18,416)	17.5%	(16,162)	(18,516)	14.6%
Taxes and Surcharge	(26,681)	(27,091)	1.5%	(28,586)	(28,438)	-0.5%
Gross profit	135,343	134,926	-0.3%	145,650	142,458	-2.2%
Financial Income / (Expenses)	1,000	800	-20.0%	1,000	800	-20.0%
Selling and distribution costs	(5,247)	(7,044)	34.2%	(5,679)	(8,342)	46.9%
General and Administrative expenses	(8,645)	(7,947)	-8.1%	(9,338)	(8,152)	-12.7%
Operating profit (EBIT)	122,519	120,861	-1.4%	131,701	126,890	-3.7%
Non-Operating Income	72	79	8.6%	78	83	6.4%
Non-Operating Expenditure	(174)	(135)	-22.2%	(186)	(142)	-23.8%
Profit before taxation	122,418	120,805	-1.3%	131,593	126,830	-3.6%
Taxation	(31,168)	(30,997)	-0.5%	(33,503)	(32,543)	-2.9%
Minority interest	(3,180)	(3,148)	-1.0%	(3,418)	(3,305)	-3.3%
Profit for the year attributable to company	88,070	86,660	-1.6%	94,671	90,982	-3.9%
Gross margin	76.1%	74.7%	-138 bps	76.4%	75.1%	-129 bps
Operating margin	68.9%	66.9%	-196 bps	69.1%	66.9%	-218 bps
Net profit margin	49.5%	48.0%	-153 bps	49.7%	48.0%	-169 bps
Effective Tax rate	25.5%	25.7%	20 bps	25.5%	25.7%	20 bps

Source: Company. BofA Global Research estimates

BofA GLOBAL RESEARCH

We trim our 2026/27E EPS by -1.6%/-4% to reflect results miss while maintaining our price objective of RMB1,630, based on a 50/50 blend of P/E (RMB1,518) and DCF (RMB1,742). We apply 22x 2026E (unchanged) to our P/E valuation, 0.5x standard deviation below its historical average on macro uncertainties. We apply 11% WACC, 1x beta and 2.5% terminal growth to our DCF calculation (unchanged). We factor in higher FCF generation in the future, given its price hikes which will improves its FCF outlook in the long run.

Results at a glance

Exhibit 2: Moutai: 2025 results at a glance

Revenue/NPAT were -1.2%/-4.5% YoY in 2025, or -19.3%/-30.3% in 4Q25

RMB mn	2024	2025	YoY%	4Q24	4Q25	YoY%	3Q24	3Q25	YoY%	2Q24	2Q25	YoY%	1Q24	1Q25	YoY%
Turnover	174,144	172,054	-1.2%	51,022	41,150	-19.3%	39,671	39,810	0.3%	36,966	39,650	7.3%	46,485	51,443	10.7%
Liquor Revenue	170,612	168,775	-1.1%	50,093	40,377	-19.4%	38,805	39,045	0.6%	36,071	38,773	7.5%	45,643	50,580	10.8%
COGS	(13,789)	(14,892)	8.0%	(3,561)	(3,708)	4.1%	(3,477)	(3,406)	-2.0%	(3,370)	(3,716)	10.3%	(3,381)	(4,061)	20.1%
Sales Tax and Surcharges	(26,926)	(27,354)	1.6%	(7,014)	(6,709)	-4.4%	(6,418)	(6,703)	4.4%	(6,295)	(6,778)	7.7%	(7,199)	(7,165)	-0.5%
Gross Profit	133,323	129,632	-2.8%	40,446	30,733	-24.0%	29,776	29,700	-0.3%	27,302	29,157	6.8%	35,905	40,217	12.0%
Other Operating Income	68	126	83.4%	2	94	5990.0%	13	7	-48.9%	37	(2)	-104.3%	17	26	58.0%
Selling & Distribution	(5,639)	(7,253)	28.6%	(1,404)	(2,775)	97.6%	(1,618)	(1,218)	-24.7%	(1,477)	(1,765)	19.5%	(1,141)	(1,495)	31.1%
General & Admin Expense	(9,534)	(8,510)	-10.7%	(3,626)	(2,894)	-20.2%	(1,979)	(1,848)	-6.6%	(1,838)	(1,822)	-0.9%	(2,090)	(1,946)	-6.9%
Finance Expense	1,470	815	-44.5%	297	181	-39.3%	278	148	-46.7%	408	204	-50.0%	487	283	-42.0%
Operating Profit	119,689	114,809	-4.1%	35,692	25,319	-29.1%	26,446	26,721	1.0%	24,394	25,732	5.5%	33,157	37,037	11.7%
Non-operating Income	71	75	5.7%	17	35	107.2%	26	8	-71.4%	11	16	42.5%	16	16	0.1%
Non-operating Expenses	(121)	(129)	6.4%	(119)	(2)	-98.0%	(2)	(103)	6265.3%	(0)	(2)	683.9%	(0)	(22)	38526.4%
Profit Before Tax	119,639	114,755	-4.1%	35,590	25,352	-28.8%	26,471	26,625	0.6%	24,405	25,747	5.5%	33,174	37,031	11.6%
Income Tax	(30,304)	(29,445)	-2.8%	(9,286)	(6,940)	-25.3%	(6,616)	(6,713)	1.5%	(6,110)	(6,535)	6.9%	(8,291)	(9,257)	11.6%
Minority	(3,107)	(2,990)	-3.7%	(903)	(718)	-20.4%	(723)	(688)	-4.7%	(664)	(657)	-1.2%	(817)	(927)	13.5%
Net Profit	86,228	82,320	-4.5%	25,401	17,693	-30.3%	19,132	19,224	0.5%	17,630	18,555	5.2%	24,065	26,847	11.6%
Gross Margin	76.6%	75.3%	-122 bps	79.3%	74.7%	-459 bps	75.1%	74.6%	-45 bps	73.9%	73.5%	-32 bps	77.2%	78.2%	94 bps
Operating Margin	68.7%	66.7%	-200 bps	70.0%	61.5%	-843 bps	66.7%	67.1%	46 bps	66.0%	64.9%	-109 bps	71.3%	72.0%	67 bps
Net Margin	49.5%	47.8%	-167 bps	49.8%	43.0%	-679 bps	48.2%	48.3%	6 bps	47.7%	46.8%	-90 bps	51.8%	52.2%	42 bps
Effective Tax Rate	25.3%	25.7%	33 bps	26.1%	27.4%	128 bps	25.0%	25.2%	22 bps	25.0%	25.4%	34 bps	25.0%	25.0%	0 bps

Source: Company

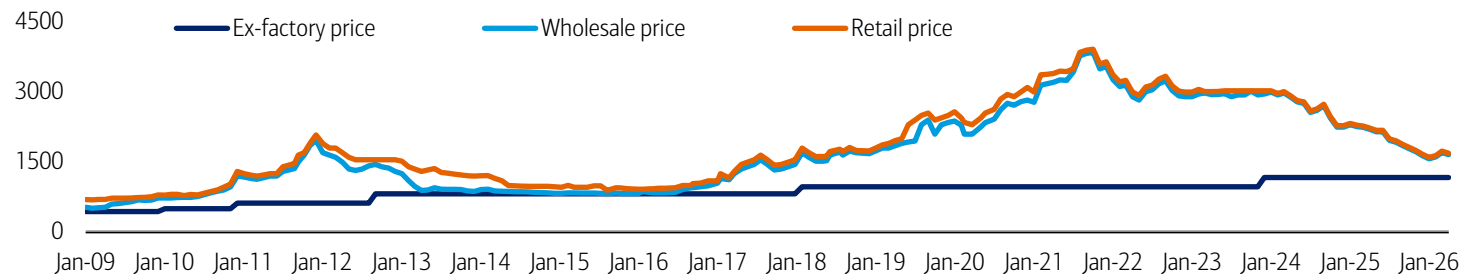
BofA GLOBAL RESEARCH



Focus charts

Exhibit 3: Moutai's wholesale prices edged up to c.RMB1660/bottle (by case) in Mar 2026 vs. end-Dec 2025 (c. RMB1570), and Feitian's ex-factory price rose from RMB1169 to RMB1269 (+8.6%) in Mar 31, 2026

Moutai: Trend of ex-factory, wholesale and retail price (RMB/bottle)

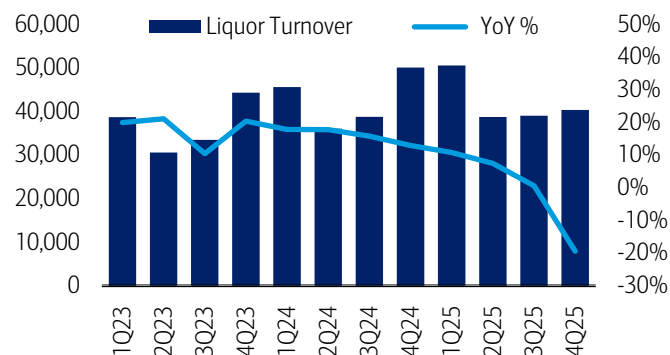


Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 4: Moutai: Quarterly Liquor Sales (RMBmn) and YoY %

Revenue was -19.3% YoY in 4Q25

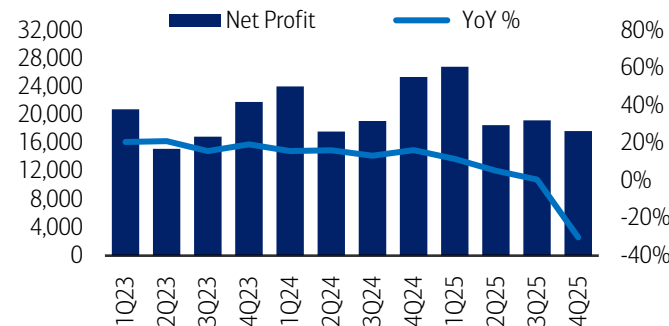


Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 5: Moutai: Quarterly Net Profit (RMBmn) and YoY %

Net profit was -30.3% in 4Q25

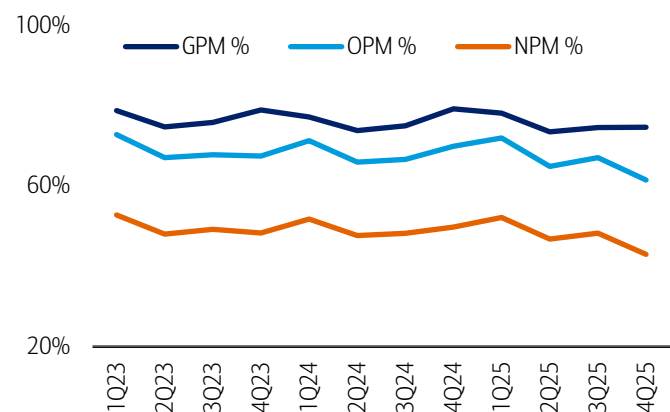


Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 6: Moutai: Margin trend - Quarterly

Margins saw contraction YoY in 4Q25

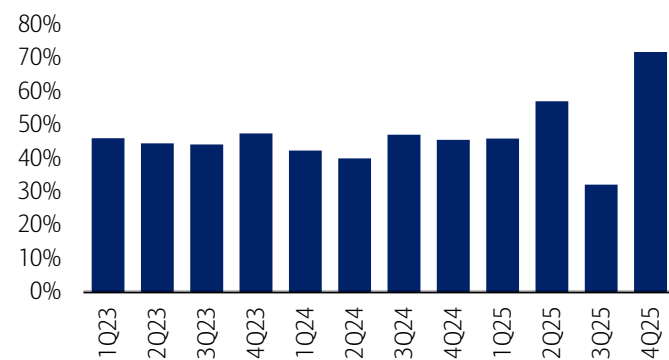


Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 7: Moutai: Direct sales as % of total sales

Higher share of direct sales in 4Q25 vs. 4Q24



Source: Companies, BofA Global Research

BofA GLOBAL RESEARCH

Financials

Exhibit 8: Moutai: Earnings Forecast

Stable earnings growth

(RMBmn)	2024	2025	2026E	2027E	2028E
Turnover	174,144	172,054	180,610	189,588	199,150
Cost of Goods Sold	-13,789	-14,892	-18,416	-18,516	-18,520
Taxes and Surcharge	-26,926	-27,354	-27,091	-28,438	-29,872
Gross Profit	133,323	129,632	134,926	142,458	150,582
Selling & distribution expenses	-5,639	-7,253	-7,044	-8,342	-9,770
Administrative expenses	-9,534	-8,510	-7,947	-8,152	-8,165
Financial Income / (Expenses)	1,470	815	800	800	900
Operating Profit	119,689	114,809	120,861	126,890	133,672
Non-Operating Income	71	75	79	83	87
Non-Operating Expenditure	-121	-129	-135	-142	-149
Profit pre tax	119,639	114,755	120,805	126,830	133,610
Income Tax	-30,304	-29,445	-30,997	-32,543	-34,283
Minority interest	-3,107	-2,990	-3,148	-3,305	-3,482
Net profit	86,228	82,320	86,660	90,982	95,845

Source: BofA Global Research estimates, company

BofA GLOBAL RESEARCH

Exhibit 9: Moutai: Cash Flow

Solid cash flow generation

(RMBmn)	2024	2025	2026E	2027E	2028E
EBITDA	121,774	117,068	123,120	129,512	136,416
Chg in Working Capital	-8,549	-9,782	-6,988	2,168	-1,562
Other	-20,761	-45,764	-27,274	-33,320	-33,566
Gross cashflow	92,464	61,522	88,858	98,360	101,289
Net Interest Expense	1,470	815	800	800	900
Net Operating Cashflow	92,464	61,522	88,858	98,360	101,289
Capex	-4,679	-3,128	-3,500	-3,500	-3,500
Other Investing Cashflow	2,894	-28,514	0	0	0
Net Investing Cashflow	-1,785	-31,642	-3,500	-3,500	-3,500
Free Cashflow	87,785	58,395	85,358	94,860	97,789
Dividend paid to shareholders	-70,951	-67,242	-67,594	-70,966	-74,759
Other Financing Cashflow	-116	-6,185	0	0	0
Net Financing Cashflow	-71,068	-73,427	-67,594	-70,966	-74,759
Chg in Cash & bank overdraft	19,611	-43,547	17,763	23,894	23,030
Cash & cash equivalents @ Beginning	150,360	169,970	150,787	168,550	192,444
Ending Cash Balance	169,970	126,426	168,550	192,444	215,474

Source: BofA Global Research estimates, company

BofA GLOBAL RESEARCH

Exhibit 10: Moutai: Balance Sheet

Strong balance sheet

(RMBmn)	2024	2025	2026E	2027E	2028E
Cash and cash equivalents	186,483	150,787	168,550	192,444	215,474
Inventory	54,343	61,427	69,758	68,221	69,791
Trade Receivables	2,003	4,460	2,598	2,596	2,860
Prepaid expense	27	7	983	56	1,035
Others - Investments	30	36	90	95	100
Total Current Assets	251,727	252,519	277,923	299,354	325,203
Property, plant and equipment	21,871	22,488	26,526	27,745	28,859
Intangible assets	8,850	8,686	8,361	8,019	7,661
Other Non-current Assets	16,496	20,142	17,671	17,671	17,671
Total Non-Current Assets	47,218	51,316	52,557	53,435	54,190
Total Assets	298,945	303,835	330,480	352,789	379,393
Other payables and accruals	5,429	5,298	5,298	5,298	5,298
Accounts payables	3,515	4,007	4,873	4,055	4,875
Tax payable	7,718	7,697	7,842	8,232	8,661
Unearned revenue	9,592	8,007	11,786	11,068	11,848
Payroll Payable	5,824	5,523	5,165	5,299	5,307
Dividend payable	1,335	1,039	1,039	1,039	1,039
Borrowings					
Total Current Liabilities	56,516	49,610	54,042	53,031	55,067
Special Accounts Payable	417	265	265	265	265
Total Non-Current Liabilities	417	265	265	265	265
Total Liabilities	56,933	49,876	54,307	53,296	55,332
Shareholders' Equity	242,011	253,959	276,172	299,493	324,061

Source: BofA Global Research estimates, company

BofA GLOBAL RESEARCH

Exhibit 11: Moutai: Ratio Analysis

Healthy growth, margin and return trends

(RMBmn)	2024	2025	2026E	2027E	2028E
Profit and Loss Ratio					
Sales Growth (%)	15.7	-1.2	5.0	5.0	5.0
Gross Margin (%)	76.6	75.3	74.7	75.1	75.6
EBITDA/Sales (%)	69.9	68.0	68.2	68.3	68.5
Operating Margin (%)	68.7	66.7	66.9	66.9	67.1
Net Margin (%)	49.5	47.8	48.0	48.0	48.1
Effective Tax Rate (%)	25.3	25.7	25.7	25.7	25.7
Earnings Growth (%)	15.4	-4.5	5.3	5.0	5.3
Balance Sheet Ratios					
Net Debt / (Cash)	186,483	150,787	168,550	192,444	215,474
Net Debt/Equity (%)	-77	-59	-61	-64	-66
ROIC (%)	49.7	45.3	43.8	42.4	41.3
Return on Equity (%)	35.6	32.4	31.4	30.4	29.6
Return on Assets (%)	28.8	27.1	26.2	25.8	25.3
Receivable Days	2	7	7	5	5
Inventory Days	1,334	1,419	1,300	1,360	1,360
Payable Days	87	92	88	88	88
Working Capital Cycle	1,227	1,313	1,198	1,256	1,257

Source: BofA Global Research estimates, company

BofA GLOBAL RESEARCH



Price objective basis & risk

Kweichow Moutai Co. Ltd. (XHJBF)

Our price objective of RMB1,630, based on a 50/50 blend of P/E (RMB1,518) and DCF (RMB1,742). We apply 22x 2026E to our P/E valuation, 0.5x standard deviation below historical average on macro uncertainties. We apply 11% WACC, 1 beta and 2.5% terminal growth to our DCF calculation.

Upside/Downside risks are (1) faster or slower-than-expected China economic growth, (2) rapid or slow recovery of China's property market, (3) conditions of China equity market and asset prices (given Moutai's exposure to investment demand), and (4) favorable or unfavorable government policy related to either stimulus or anti-graft).

Analyst Certification

I, Chen Luo, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ABC-MART	AMKYF	2670 JP	Arashi Nishizawa
	AmorePacific Corp	AMRPF	090430 KS	Ahyung Cho
	and ST HD	PNMOF	2685 JP	Arashi Nishizawa
	Anker Innovations	XAIF	300866 CH	Yoyo Pang
	Anta Sports	ANPDF	2020 HK	Lucy Yu
	APR	XLTF	278470 KS	Ahyung Cho
	Asics	ASCCF	7936 JP	Arashi Nishizawa
	BGF Retail	XWAHF	282330 KS	Ahyung Cho
	Bosideng	BSDGF	3998 HK	Lucy Yu
	BUD APAC	BDWBF	1876 HK	Chen Luo, CFA
	Busy Ming Group	XYBMF	1768 HK	Jack Chen
	Chacha Food	XCCLF	002557 CH	Jack Chen
	China Pet Foods	XDEEF	002891 CH	Alice Ma
	China Resources Beer (Holdings) Co Ltd	CRHKF	291 HK	Chen Luo, CFA
	Coca-Cola Bottlers Japan Holdings	CCOJF	2579 JP	Manabu Sumoge
	Cosmax	XCRSF	192820 KS	Zoe (Jung-ae) Chun
	Cosmos Pharmaceutical	CSMYF	3349 JP	Arashi Nishizawa
	Dabur India	DBUIF	DABUR IN	Aditya Mathur
	DPC Dash Ltd	DPCDF	1405 HK	Lucy Yu
	Eastroc	XEBSF	605499 CH	Jack Chen
	Eastroc	XEBDF	9980 HK	Jack Chen
	Fast Retailing	FRCOF	9983 JP	Arashi Nishizawa
	Fast Retailing	FRCOY	FRCOY US	Arashi Nishizawa
	Feng Tay	FTGYF	9910 TT	Ronald Leung, CFA
	Godrej Consumer Products	XGOCF	GCPL IN	Aditya Mathur
	Goldwin	GWNCF	8111 JP	Arashi Nishizawa
	Gurning	XGHXF	1364 HK	Lucy Yu
	Haier Smart Home Co Ltd	TTEF	600690 CH	Lucy Yu
	Haier Smart Home Co Ltd	HRSHF	6690 HK	Lucy Yu
	Henan Shuanghui Investment & Dev	HSUIF	000895 CH	Chen Luo, CFA
	JINS HOLDINGS	JNDOF	3046 JP	Arashi Nishizawa
	Jubilant FoodWorks	XJUBF	JUBI IN	Aditya Mathur
	Kewpie	KWPCF	2809 JP	Manabu Sumoge
	Kikkoman	KIKOF	2801 JP	Manabu Sumoge
	Kirin Holdings	KNBWF	2503 JP	Manabu Sumoge
	Kobe Bussan	KOBNF	3038 JP	Arashi Nishizawa
	Kolmar Korea	XKKPF	161890 KS	Zoe (Jung-ae) Chun
	KT&G	KTCIF	033780 KS	Ahyung Cho
	Kweichow Moutai Co. Ltd.	XHJBF	600519 CH	Chen Luo, CFA

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Leela Palaces Hotels & Resorts	XSBLF	THELEELA IN	Aditya Mathur
	Li Ning Co Ltd	LNNGF	2331 HK	Lucy Yu
	Ligao Foods	XLFLF	300973 CH	Jack Chen
	Mao Geping	XMGOE	1318 HK	Lucy Yu
	Marico	MAIOF	MRCO IN	Aditya Mathur
	MatsukiyoCocokara & Co	MSMKF	3088 JP	Arashi Nishizawa
	Mengniu Dairy	CIADF	2319 HK	Chen Luo, CFA
	Midea Group	MGCOF	300 HK	Chen Luo, CFA
	Midea Group Co Ltd	XMGEF	000333 CH	Chen Luo, CFA
	New Oriental Education & Technology	EDU	EDU US	Lucy Yu
	New Oriental Education & Technology	NWOEF	9901 HK	Lucy Yu
	Nien Made Enterprise	XNRBF	8464 TT	Yoyo Pang
	Nitori Holdings	NCLTF	9843 JP	Arashi Nishizawa
	Nongfu Spring	NNFSF	9633 HK	Jack Chen
	PAL Group Holdings	PALZF	2726 JP	Arashi Nishizawa
	Pan Pacific International HD	DQJCF	7532 JP	Arashi Nishizawa
	Roborock Technology	XBTLF	688169 CH	Yoyo Pang
	Ryohin Keikaku	RYKKF	7453 JP	Arashi Nishizawa
	Ryohin Keikaku	RYKKY	RYKKY US	Arashi Nishizawa
	Samsonite International	SMSOF	1910 HK	Jack Chen
	Seven & i Holdings	SVNDF	3382 JP	Arashi Nishizawa
	Shanxi Fen Wine	XCKZF	600809 CH	Chen Luo, CFA
	Shenzhou International	SZHIF	2313 HK	Chen Luo, CFA
	Shinsegae	SDKLF	004170 KS	Ahyung Cho
	Sugi Holdings	SGIPF	7649 JP	Arashi Nishizawa
	Sundrug	SDGCF	9989 JP	Arashi Nishizawa
	Suofeiya Home Collection Co Ltd	XGUZF	002572 CH	Yoyo Pang
	TAL	TAL	TAL US	Lucy Yu
	Tingyi	TCYMF	322 HK	Jack Chen
	Titan Company	XNXAF	TTAN IN	Aditya Mathur
	Trial Holdings	XIKRF	141A JP	Arashi Nishizawa
	Tsingtao Brewery	TSGTF	168 HK	Chen Luo, CFA
	Tsingtao Brewery	XTSOF	600600 CH	Chen Luo, CFA
	Uni-president China	UNPSF	220 HK	Jack Chen
	UNITED ARROWS	UARWF	7606 JP	Arashi Nishizawa
	United Spirits	XUNIF	UNITDSPR IN	Aditya Mathur
	Varun Beverages	XMKDF	VLN IN	Aditya Mathur
	Wanchen Group	XFWXF	300972 CH	Jack Chen
	WH Group Limited	WHGRF	288 HK	Chen Luo, CFA
	Yankershop Food	XYNKF	002847 CH	Jack Chen
	Yili Industrial Group	XIDRF	600887 CH	Chen Luo, CFA
	Yum China	YUMC	YUMC US	Chen Luo, CFA
	Yum China	XYUMF	9987 HK	Chen Luo, CFA

NEUTRAL

	Ajinomoto	AJINF	2802 JP	Manabu Sumoge
	Asahi Group Holdings	ASBRF	2502 JP	Manabu Sumoge
	Asian Paints	XSAFF	APNT IN	Aditya Mathur
	Avenue Supermarts	XWCVF	DMART IN	Aditya Mathur
	Britannia Industries	XJNDF	BRIT IN	Aditya Mathur
	China Feihe	CHFLF	6186 HK	Jack Chen
	China Resources Beverage	XCRBF	2460 HK	Jack Chen
	Chow Tai Fook Jewellery	CJWF	1929 HK	Ronald Leung, CFA
	E-Mart	EMRTF	139480 KS	Ahyung Cho
	Foshan Haitian Flavouring & Food Co Ltd	XCMJF	603288 CH	Jack Chen
	Gree Electric Appliances	ZHUHF	000651 CH	Chen Luo, CFA
	GS Retail	XGLTF	007070 KS	Ahyung Cho
	Haidilao International Holding Ltd.	HDALF	6862 HK	Lucy Yu
	Hengan Intl	HEGIF	1044 HK	Yoyo Pang
	Hindustan Unilever	HINLF	HUVR IN	Aditya Mathur
	Hisense Home Appliance	XMBQF	000921 CH	Lucy Yu
	Hisense Home Appliance	HISEF	921 HK	Lucy Yu
	ITC	ITCTF	ITC IN	Aditya Mathur
	Kusuri No Aoki Holdings	XADAF	3549 JP	Arashi Nishizawa
	Laopu Gold	XLGBF	6181 HK	Ronald Leung, CFA
	Man Wah Holdings	MAWHF	1999 HK	Yoyo Pang



APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	MINISO Group Holdings	MNSO	MNSO US	Lucy Yu
	MINISO Group Holdings	XKTAF	9896 HK	Lucy Yu
	Pop Mart	POPMF	9992 HK	Alice Ma
	Proya Cosmetics	XPXCF	603605 CH	Lucy Yu
	Robam Appliance	XVPDF	002508 CH	Lucy Yu
	Suntory Beverage & Food	STBFF	2587 JP	Manabu Sumoge
	Tata Consumer Products	XTCUF	TATACONS IN	Aditya Mathur
	Topsports International Holding Ltd.	TPSRF	6110 HK	Lucy Yu
	Tsuruha Holdings	TSUSF	3391 JP	Arashi Nishizawa
	Wuliangye Yibin	YBWUF	000858 CH	Chen Luo, CFA
	Yamada Holdings	YMDAF	9831 JP	Arashi Nishizawa
	Yonghui Superstores Co Ltd	XQYXF	601933 CH	Lucy Yu
	Yue Yuen	YUEIF	551 HK	Yoyo Pang

UNDERPERFORM

	Anjoy Foods	XSWCF	603345 CH	Jack Chen
	Bairun	XSBZF	002568 CH	Jack Chen
	Colgate-Palmolive India	CPIYF	CLGT IN	Aditya Mathur
	Eclat	ECLAF	1476 TT	Ronald Leung, CFA
	Fuling Zhacai	XSRTF	002507 CH	Jack Chen
	Gambol Pet	XYEDF	301498 CH	Alice Ma
	Giant Manufacturing	GTNUF	9921 TT	Ronald Leung, CFA
	Hotel Shilla	HSLLF	008770 KS	Ahyung Cho
	Jason Furniture	XVZDF	603816 CH	Yoyo Pang
	Jiangsu Yanghe Brewery	XJBTF	002304 CH	Chen Luo, CFA
	Lai Yih Footwear	XAWWF	6890 TT	Ronald Leung, CFA
	LG H&H	LGHHF	051900 KS	Ahyung Cho
	Lotte Shopping	LOSPF	023530 KS	Ahyung Cho
	Luzhou Laojiao	XMBBF	000568 CH	Chen Luo, CFA
	Makalot Industrial	MAKAF	1477 TT	Ronald Leung, CFA
	Merida Industry Co Ltd	MIUYF	9914 TT	Ronald Leung, CFA
	Mixue Group	XDGRF	2097 HK	Chen Luo, CFA
	Nestle India	XNTEF	NEST IN	Aditya Mathur
	Oppein Home Group	XKXRF	603833 CH	Yoyo Pang
	Pidilite Industries	PDLFF	PIDI IN	Aditya Mathur
	Sapphire Foods	XLQLF	SAPPHIRE IN	Aditya Mathur
	Sapporo Holdings	SOOBF	2501 JP	Manabu Sumoge
	Seria	SAOGF	2782 JP	Arashi Nishizawa
	Shanghai Jahwa	SNJUF	600315 CH	Lucy Yu
	Shanghai M&G Stationery	XBHUF	603899 CH	Yoyo Pang
	SHIMAMURA	SHAOF	8227 JP	Arashi Nishizawa
	Smoore	SMORF	6969 HK	Alice Ma
	United Breweries	UBWRF	UBBL IN	Aditya Mathur
	Want Want China	WWNTF	151 HK	Chen Luo, CFA
	WORKMAN	WKISF	7564 JP	Arashi Nishizawa
	Yihai Intl	YNNHF	1579 HK	Lucy Yu
	Yihai Kerry Arawana	XYIHF	300999 CH	Jack Chen

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase[®] is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

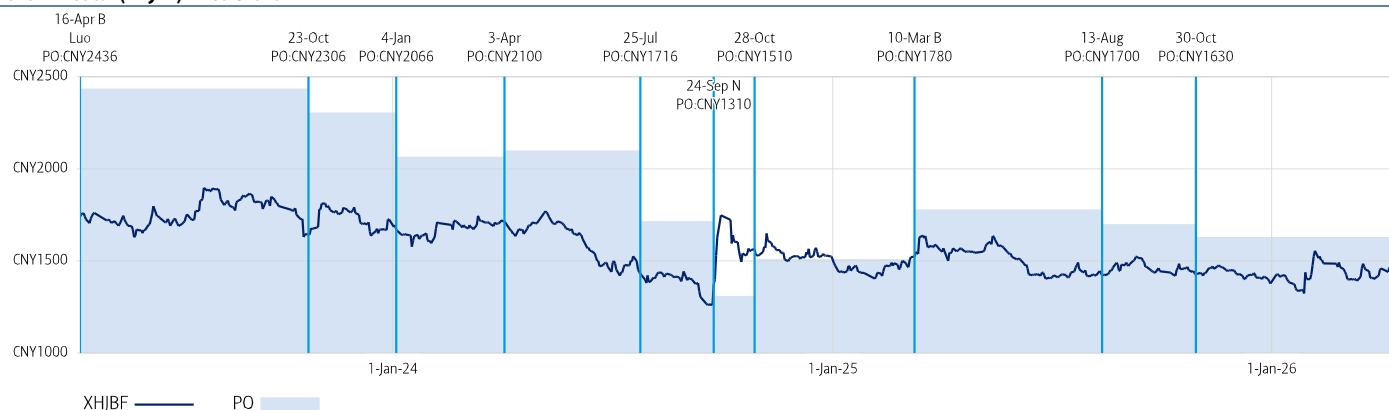
iQprofileSM, iQmethodSM are service marks of Bank of America Corporation. iQdatabase[®] is a registered service mark of Bank of America Corporation.



Disclosures

Important Disclosures

Kweichow Moutai (XHJBF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Beverages - Alcoholic Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	17	45.95%	Buy	10	58.82%
Hold	6	16.22%	Hold	5	83.33%
Sell	14	37.84%	Sell	6	42.86%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. **VOLATILITY RISK RATINGS**, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. **INVESTMENT RATINGS** reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. **Coverage Cluster** is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the [Price Charts website](#), or call 1-800-MERRILL to have them mailed.

In the US, retail sales and/or distribution of this report may be made only in states where these securities are exempt from registration or have been qualified for sale: Kweichow Moutai. BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits.

Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.

The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.

Officers of BofA or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.

Refer to [BofA Global Research policies relating to conflicts of interest](#).

'BofA Securities' includes BofA Securities, Inc. ('BofA') and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. 'BofA Securities' is a global brand for BofA Global Research.

Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:

BofA and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofam.com/BofASEdisclaimer; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSCF); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofA Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofA India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority. This information has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofA Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSCF; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofA India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the [Electronic Communications Disclaimers](#) for further information.

This information has been prepared and issued by BofA and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofA and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofA and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofA and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.

General Investment Related Disclosures:

Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.

This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.

Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are largely unregulated. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may be more or less positive than a stock's fundamental equity rating.



BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities that may have been recommended in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.

All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.

Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.

Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.

In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.

Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.